Value chain

Rather than looking at the supply chain as merely a series of activities, organizations are increasingly looking at how value is created by each stage of the process. Lowering costs or raising performance are key.

How it works

Harvard Business School professor Michael Porter first introduced the concept of a value chain in his book *Competitive Advantage*. Most organizations have dozens—possibly hundreds—of activities along the supply chain in the process of converting raw materials (inputs) to products or services (outputs). These can be classified generally as either primary or support activities that all businesses must undertake. The idea of the value chain is that how activities are organized and carried out determines a company's costs and thus its margin (profit). Each link of the chain must communicate to other departments clearly and promptly. For example, marketing and sales must make accurate sales forecasts and pass them on in time for procurement to buy the correct type and quantity of raw materials, who in turn must connect with inbound logistics so they can organize receipt of goods.

Porter's value chain

Primary activities work directly to create or deliver a product or service, while support activities help to improve their efficiency. To apply the value chain, a company has to identify each activity and either lower its cost or differentiate it from its competitors to add value in the customer's eye.

PRIMARY ACTIVITIES
Each department must cooperate and provide necessary information between value-chain activities to make a profit.

Inbound logistics
Involves relationships with suppliers, including all activities to receive, store, and allocate inputs

Operations
Activities required to transform inputs into outputs

SUPPORT ACTIVITIES
Although not directly involved in outputs, these support primary activities, improving their efficiency and successful function.

Company infrastructure

Human resource management

Technology development

Procurement

CASE STUDY

Pizza Hut's value chain

Pizza Hut's greatest asset is breaking down complex pizza-making into simple steps unskilled chefs can do.

- **Inbound logistics** Vast global purchase orders for ingredients
- **Operations** Target countries with a liking for Italian food, on a franchise model with local staff
- **Outbound logistics** In-house meals and home delivery service
- **Marketing** Differentiate from other pizza chains
- **Service** Delicious, convenient pizzas at a fair price